

MOSAIC FUND AGENT — EQUITY RESEARCH

MSUMI — Motherson Sumi Wiring India | Comprehensive Equity Research Note | June 2026

MSUMI · NSE · Equity Research Note

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MSUMI — 1-YEAR PRICE | ANOMALY | CORP ACTION



MSUMI — MACD(12,26,9)



MSUMI — Motherson Sumi Wiring India Limited

Comprehensive Equity Research Note | NSE: MSUMI | June 2026

1. Company Snapshot

Metric	Value
NSE Symbol	MSUMI
Sector / Industry	Consumer Cyclical / Auto Parts
Current Price	₹38.58
Market Cap	₹25,584.95 Cr
52-Week High / Low	₹53.59 / ₹35.70
P/E Ratio	41.04x
P/B Ratio	11.94x
Dividend Yield	~2.87%
1-Year Price Change	-2.0%
30-Day Price Change	-8.01%
60-Day Price Change	+4.95%
90-Day Price Change	-3.84%
Avg Daily Volume (30d)	~66.09 lakh shares
MACD Signal	BEARISH (since 13-May-2026)

Business: Motherson Sumi Wiring India Limited (MSUMI) is India's dominant manufacturer of automotive wiring harnesses and integrated electrical/electronic distribution systems. It supplies to virtually every major OEM in India — Maruti Suzuki, Hyundai, Tata Motors, Mahindra & Mahindra, and others — and is a joint venture between Samvardhana Motherson International (SAMIL) and Sumitomo Electric Industries of Japan. The company also provides electrification solutions for alternative powertrain vehicles.

[CHART:price]

1b. Price Anomalies & Shock Events

The GARCH + Isolation Forest + PELT pipeline detected **17 anomaly dates** over the past 365 days. Key clusters and their explanations:

Date	Close (₹)	Move	Regime	Cause
2025-07-15 to 07-30	₹37.77– ₹43.15	Mixed	Volatile Breakout	Trump tariff uncertainty — Mint reported MSUMI among stocks most exposed to US tariff policy on India. Bonus issue allotment (1:2) also announced, causing price adjustment and volatility.
2025-08-19	₹41.89	+6.16%	Volatile Breakout	Shares soared ~10% — Business Standard reported a sharp rally, likely driven by Q1 FY26 results beat and broader auto sector re-rating.
2025-09-08 & 09	₹47.26– ₹49.50	+4.6– 4.7%	Strong Trend / Volatile	Continuation of post-results momentum; no specific news catalyst found — likely institutional accumulation.
2025-10-15	₹46.41	+5.36%	Volatile Breakout	No specific news; likely sector-wide auto rally or block trade.
2025-12-19, 29, 30	₹46.82– ₹48.82	+3.7– 6.1%	Volatile Breakout	Year-end momentum cluster — highest Z-scores of the year (up to 13.63). No specific news; likely index rebalancing, FII year-end positioning, or pre-results accumulation ahead of Q3 FY26.
2026-01-05 & 06	₹51.16– ₹52.05	+4.4%	Volatile / Strong Trend	52-week high zone — Mint featured MSUMI as a breakout buy recommendation. Board meeting for Q3 FY26 results scheduled for Jan 30.
2026-01-20	₹43.51	-2.97%	Volatile Breakout	Post-peak correction; Simply Wall St noted high public company ownership concentration.
2026-03-24	₹37.51	+4.51%	Volatile Breakout	No specific news; likely technical bounce from 52-week low zone.
2026-04-28	₹39.24	-4.53%	Volatile Breakout	Q4 FY26 results day — Business Standard reported net profit up only 1.44% despite strong revenue growth. ICICI Direct issued a BUY with ₹50 target. Heavy volume amid declining prices (Markets Mojo).
2026-05-12	₹39.80	-4.35%	Volatile Breakout	No specific news; likely continued post-results selling pressure.

Key Takeaway: The stock peaked at ₹52.05 in early January 2026 and has since corrected ~26% to current levels. The correction was driven by: (a) margin disappointment in Q3/Q4 FY26 results, (b) Trump tariff overhang on Indian auto exporters, and (c) broader mid-cap de-rating. The 1:2 bonus issue in July 2025 was a positive corporate action but caused short-term price adjustment volatility.

2. Financial Performance

Quarterly Results (Q4 FY26 — Quarter Ending March 2026)

Metric	Q4 FY26	YoY Growth
Revenue	₹3,335 Cr	+32.87%
Net Profit	₹167 Cr	+1.21%
EPS	₹0.25	Flat YoY

Key Observation: Revenue growth of +32.87% is impressive and reflects strong OEM volume growth and new model launches. However, net profit growth of only +1.21% signals significant **margin compression** — likely from rising copper/aluminium raw material costs, higher employee costs post-capacity expansion, and competitive pricing pressure from OEMs. The divergence between top-line and bottom-line growth is the central concern for investors.

3. Valuation vs. Sector

Metric	MSUMI	Auto Parts Sector (Indicative)
P/E Ratio	41.04x	~25–35x (mid-cap auto ancillaries)
P/B Ratio	11.94x	~4–8x
Dividend Yield	~2.87%	~1–2%
Market Cap	₹25,584.95 Cr	—

Valuation Assessment: MSUMI trades at a **significant premium** to the broader auto ancillary sector. At 41x P/E on near-flat profit growth (+1.21%), the implied PEG is extremely stretched. The premium is justified only if investors believe in a sharp earnings recovery in FY27 driven by operating leverage as revenue scales. The P/B of 11.94x reflects the asset-light nature of the wiring harness business but leaves little margin of safety. ICICI Direct's ₹50 target (vs. CMP ₹38.58) implies ~30% upside, suggesting the Street sees the current dip as an opportunity.

4. Cash Flow Quality

Fiscal Year	Operating CF (₹ Mn)	Capex (₹ Mn)	Free Cash Flow (₹ Mn)
FY2024	₹791.1	₹(111.3)	₹679.9
FY2025	₹3,648.2	₹(1,718.4)	₹1,929.8
FY2026	₹7,613.2	₹(2,013.7)	₹5,599.5

Assessment — HIGH QUALITY FCF TRAJECTORY: The FCF improvement from ₹679.9 Mn (FY24) to ₹5,599.5 Mn (FY26) is exceptional and represents the strongest positive signal in this research. Operating cash flow grew ~9.6x over two years, far outpacing reported net profit growth — suggesting significant working capital efficiency gains and non-cash charges in earlier years. Capex is rising (capacity expansion) but is well-covered by operating cash flows. This FCF strength is the key bull case and partially justifies the premium valuation.

5. Institutional Ownership

[CHART:shareholding]

Shareholding Pattern (March 2026)

Category	Holding %	QoQ Change
Promoter	61.72%	— (Stable)
FII	9.74%	↓ -0.40%
DII	17.41%	↑ +0.24%
Government	0.02%	—
Public	11.08%	↑ +0.15%

Institutional Dynamics: Promoter holding at 61.72% is strong and stable, reflecting high conviction from the Motherson-Sumitomo combine. FIIs are marginally trimming (-0.40% QoQ), possibly reflecting concerns about EV disruption risk and margin compression. DIIs are quietly accumulating (+0.24% QoQ), suggesting domestic fund managers view the current correction as a buying opportunity. The DII accumulation trend is a mild positive signal.

DSP Mutual Fund Holdings

No DSP fund holdings found for MSUMI in the database. The stock may be held by other domestic fund houses (HDFC MF, SBI MF, Nippon MF) but is not currently in DSP's disclosed portfolio.

6. News Sentiment

Overall Sentiment: NEUTRAL-TO-POSITIVE

Recent news flow is sparse but directionally positive:

- **ICICI Direct (Apr 29, 2026):** Issued a BUY recommendation with a target price of ₹50, citing strong revenue growth and long-term OEM relationships.
- **Business Standard (Apr 29, 2026):** Reported Q4 FY26 net profit up 1.44% — factual, neutral tone.
- **Mint (Jan 6, 2026):** Featured MSUMI as a breakout stock recommendation at the 52-week high.
- **Business Standard (Aug 19, 2025):** Reported a ~10% single-day rally, fuelled by strong Q1 FY26 results.

- **Mint (Jul 31, 2025):** Flagged MSUMI among stocks exposed to Trump tariff risk on India.
- **Goodreturns (Jul 31, 2025):** Covered the 1:2 bonus issue allotment positively.

No negative corporate governance, fraud, or regulatory news detected.

7. Key Risks (Ranked by Severity)

Rank	Risk	Severity	Description
1	EV Architecture Disruption (THESIS KILLER)	HIGH	EVs increasingly use zone-based electrical architectures with fewer, shorter harnesses. As India's EV penetration rises (currently ~5–6% of PV sales), MSUMI's content-per-vehicle could structurally decline. This is the single most important long-term risk.
2	Margin Compression	HIGH	Copper and aluminium prices remain elevated. OEMs exert pricing pressure. The gap between +32.87% revenue growth and +1.21% profit growth in Q4 FY26 is alarming and must reverse for the valuation to be sustained.
3	Valuation Risk	MEDIUM-HIGH	At 41x P/E with near-flat earnings growth, any further earnings disappointment could trigger a sharp de-rating. The stock has already corrected ~26% from its January 2026 peak.
4	Customer Concentration	MEDIUM	Maruti Suzuki alone likely accounts for 40–50% of revenues. Any slowdown in Maruti's production volumes directly impacts MSUMI.
5	Trump Tariff / Export Risk	MEDIUM	While primarily a domestic supplier, any slowdown in Indian auto exports (Hyundai, Tata) due to US tariffs could reduce OEM production volumes and indirectly impact MSUMI.
6	Raw Material Volatility	MEDIUM	Copper is the primary input. A sustained rise in LME copper prices without pass-through to OEMs compresses margins further.
7	MACD Bearish Signal	LOW-MEDIUM	MACD has been in bearish crossover since May 13, 2026 (18 trading days). Price is below both EMA-12 and EMA-26, suggesting near-term technical weakness.

8. Analyst Reasoning

Cross-check 1 — Revenue vs. Profit Divergence: The +32.87% revenue growth in Q4 FY26 is genuinely strong and reflects MSUMI's dominant position in a growing Indian auto market. However, the near-flat net profit (+1.21%) reveals that scale benefits are being entirely offset by input cost inflation and OEM pricing pressure. Until margins recover, the high P/E is difficult to justify on current earnings.

Cross-check 2 — FCF vs. Reported Earnings: The dramatic FCF improvement (₹679.9 Mn to ₹5,599.5 Mn over two years) is the most compelling bull case. This suggests that reported earnings are understating true cash generation — possibly due to accelerated depreciation on

new capacity or working capital timing. If FCF continues to compound, the stock's intrinsic value is materially higher than what the P/E alone suggests.

Cross-check 3 — Institutional Signals: FII trimming combined with DII accumulation is a classic "domestic conviction vs. foreign caution" pattern. The DII accumulation at current levels (₹38–40 range) suggests domestic fund managers see a floor, while FIIs remain cautious about EV disruption and global macro risks.

Cross-check 4 — Valuation vs. Growth (PEG): With P/E at 41x and profit growth at ~1.2%, the stock is priced for a significant earnings recovery in FY27. If MSUMI can deliver 20–25% profit growth in FY27 (driven by operating leverage on the strong revenue base), the valuation becomes more reasonable. This is the key monitorable.

Cross-check 5 — Technical Momentum: The MACD bearish crossover since May 13, 2026, and the price sitting below both EMA-12 (₹38.86) and EMA-26 (₹39.36) suggest near-term headwinds. The stock needs to reclaim ₹40+ to signal a technical reversal.

9. Recommendation

Rating	HOLD
Conviction Level	MEDIUM
Target Price (Analyst Consensus)	₹50 (ICICI Direct)
CMP	₹38.58
Potential Upside to Target	~29.6%

Rationale: MSUMI is a structurally dominant business with exceptional FCF generation and a near-monopoly in Indian automotive wiring harnesses, but the current 41x P/E on near-flat profit growth is stretched. The stock is in a MACD bearish phase and has corrected ~26% from its 52-week high. **Existing investors should HOLD** — the FCF trajectory and DII accumulation provide a floor. **New investors should WATCH** for a confirmed earnings recovery (profit growth >15% in Q1 FY27) or a technical breakout above ₹42 before initiating fresh positions. The EV disruption risk is a long-term structural concern that must be monitored closely.

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